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SECRET

C.P.(51) 158

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CABINET

JAPANESE PEACE TREATY: CHINESE PARTICIPATION

Memorandum by the Secretary of State for Foreign Affairs

On 7th June (C.M.(51) 41st Conclusions, Minute 1) the Cabinet decided to invite me, in further discussions with Mr. Dulles, to press for a solution of the problem of Chinese participation in the Treaty on the lines of the proposals explained in paragraphs 18 - 20 of C.P.(51) 137, namely, that neither Government of China should sign the Treaty, but that there should be an accession clause providing for China to accede to it when certain specific conditions, requiring a more general measure of agreement among the other signatories on Chinese and Far Eastern questions generally, had been fulfilled.

Views of Mr. Dulles.

2. On representations being made to him accordingly, Mr. Dulles replied that he regretted he could not go any further to meet us than was represented by the proposal set out in paragraph 6(c) of C.P.(51) 155, namely that the Treaty should be signed by neither Government of China. In particular he argued strongly against any attempt to insert in the Treaty a provision limiting Japan's right to conclude any peace settlement with China until more general agreement about Chinese participation had been secured among the signatories of the multilateral treaty. He made use of the following arguments to support his views:-

(a) On the merits of the case, the question was, did we intend by our Peace Treaty to make Japan fully sovereign, or not? If, as he assumed, we did, he felt it would be inconsistent at the same time to set up what amounted to a "committee" (i.e. any defined proposal for a two-thirds majority of the principal parties to the Treaty), which after the coming into effect of the Peace Treaty was expected to go on running the most important part of Japan's foreign policy, namely, her relations with China. The responsibility for anything that went wrong between Japan and China would then rest on our shoulders, and in addition a lasting source of discord would be created among the western Allies themselves.

(b) Secondly, on internal political grounds in the United States, he felt that the proposal was quite impracticable and indeed, if pursued further, would be likely to wreck the whole Treaty. All treaties require a two-thirds majority in the United States Senate before they can be ratified; even assuming that all the democratic Senators voted in favour of this Treaty (which was not certain) it would still be necessary to get about half the Republican Senators to vote in favour as well; Mr. Dulles, as a Republican himself, could assure us that in the present state

of United States politics this would not be feasible. Once the Treaty had been repudiated by the United States Senate the whole peace settlement would of course be thrown back into the melting-pot.

Comment.

3. It may be useful at this stage to recapitulate very shortly the course of our discussions on this point. Originally we maintained that the Central People's Government must sign the Treaty and not the Nationalists, while the Americans maintained that the Nationalists must sign and not the Central People's Government. In the second stage of the negotiations, we told the Americans that if they would drop their insistence on Nationalist participation, we would drop our insistence on Communist participation, so that neither China would sign the Treaty. Mr. Dulles has now agreed to recommend to his Government that they should no longer insist on Nationalist participation. From our point of view this step to meet us was of course essential. From the American point of view it is a most important and, in the present state of United States politics, courageous decision. Mr. Dulles warned us that when he returns to the United States he will be subjected to violent criticism on this point from the "MacArthur" wing of the Republican Party, and that he may possibly be repudiated.

4. Looked at more broadly, the question of Chinese participation has now become a cardinal point on which other outstanding questions depend. If we can solve it, we can also solve the problems of Formosa, and probably of the Congo Basin Treaties. The Americans have taken a major step to meet us, and it would be a disaster if, when agreement was so nearly achieved, it should nevertheless be missed with all the serious and wider implications which that would have, over a dispute which is now more one of legal interpretation than of substance or principle.

5. My colleagues may feel that there is force in both the points made by Mr. Dulles (paragraph 2 above).

6. As regards (a), Mr. Dulles' interpretation of international law is correct. Once the Peace Treaty came into force, Japan as a sovereign and independent state would be free to conclude her own agreements with China, unless prohibited from doing so in the Treaty. This type of limitation on the freedom of a defeated state has not been inserted in any previous recent peace settlement. His Majesty's Government agree to the principle of a non-restrictive Treaty, and it would seem inconsistent if they should now wish to go back on the general principle and impose in the Treaty a new restriction, of a quite unprecedented kind, on Japan's freedom.

7. As regards argument (b), Mr. Dulles speaks with authority on United States internal politics and I suggest that we must accept his conclusion on this point.

8. A further argument against attempting to restrict Japan's freedom to make her own settlement with China after the Peace Treaty comes into force is that it would be unwise, unworkable in practice, and bad propaganda as well, for a group of Powers, most of them western, to take on themselves the responsibility of guiding the course of relations between two important Asiatic peoples with a long history of direct contacts.

9. I think Mr. Dulles is not unconscious of the fact that there exists in this country a suspicion of United States motives in framing the Japanese Treaty; a suspicion in fact that the United States will seek to persuade Japan to conclude a treaty with Chiang Kai-shek and thereafter to use both the Japanese and the Nationalists in an attempt to overthrow the present regime in China. But Mr. Dulles himself is known to be opposed to Chiang Kai-shek, and he has not only denied that the Uni ed States would seek to force Japan into a treaty with Chiang Kai-shek but has actually suggested in conversation that His Majesty's Government who, as he put it, are not without influence with the Japanese, should use their influence to dissuade Japan from such a course.

10. It therefore amounts to this: that a refusal to reach agreement with the United States on the question of Chinese participation is tantamount to an indication that His Majesty's Government are not prepared to accept the good faith of Mr. Dulles as a negotiator or of the United States Government. I need not emphasise the effect upon Anglo-American relations of such a course.

11. Were the United States Government, however, to show themselves unworthy of the trust which it is suggested we should place in them, there is no need for His Majesty's Government to accept the situation which would be created if Japan were to conclude a Peace Treaty with Chiang Kai-shek after the conclusion of the multilateral treaty to which we should be a party. We can, I submit, do no more than safeguard our own position and our own relationship with the Central People's Government, and I consider that this position is safeguarded by the proposed terms of the present draft to which Mr. Dulles now seeks our agreement.

12. On his return to the United States on Thursday, 14th June, Mr. Dulles will, if he has reached agreement on the draft Treaty, have to ensure its acceptance by the Administration who for their part will wish to be assured of ultimate approval by the United States Senate. If on the other hand no agreement is reached by Thursday this is bound to become public knowledge, and I share Mr. Dulles' anxiety as to the consequences of the breach which would then result.

Recommendations.

13. (a) That we should accept the substance of the arrangements proposed as a result of discussion with Mr. Dulles, which is as follows:

(i) The preamble of the Treaty would not name the "Allied Powers", but their determination would depend upon the operation of a new article in the final clauses which would, in substance, specify that -

"Allied Powers, for the purpose of the present Treaty, shall be deemed to be those States at war with Japan which have signed the present Treaty".

(ii) No Chinese Government would be invited to sign the Treaty and there would be no accession clause.

(iii) There would, however, be an article on the following lines:

"Japan will be prepared to conclude with any state which signed and adhered to the United Nations Declaration of January 1, 1942, and which is at war with Japan and which is not a signatory of this Treaty, a bilateral treaty of peace on the same or substantially the same terms as are provided for in the present treaty, but this obligation on the part of Japan will expire three years after the coming into force of the present Treaty pursuant to Article 23 a. Japan will not, however, make a peace settlement or war claims settlement with any state which would grant that state greater advantages than provided by the present Treaty unless those same advantages are extended pari passu to the parties hereto."

(iv) That the interests of the Chinese people should, however, be taken care of by special automatic provisions on the lines of the present Article 12 (renunciation of Japanese special rights and interests in China) covering other items such as the disposal of Japanese assets in China.

(v) That the signatories should recognise that under international law the responsibility for solving the problem of Japan's future relations with China must necessarily be laid by the Peace Treaty on Japan herself, once she has regained her sovereign and independent status with the coming into force of the Treaty.

(b) That an agreed announcement on the basis of the draft annexed to this memorandum should be issued simultaneously with the Treaty. (The actual terms of this statement have not been discussed with the Americans.)

H.M.

Foreign Office, S.W.1,

9TH JUNE, 1951.

ANNEX

CHINESE PARTICIPATION AND FORMOSA

(Announcement to be made simultaneously with the signature of the draft)

DRAFT

The Powers signing the Peace Treaty with Japan recognise that they are not agreed among themselves on the question of which Government is the legal Government of China. They are agreed that this fact should not be allowed to delay the Japanese Peace Settlement any further, and it has, therefore, been necessary for the present Treaty to be concluded without signature by either Government of China.

2. The Powers who are signatories of this Treaty have felt that in these circumstances they should make a special effort to safeguard the interests of the Chinese people. They have, therefore, included in the Treaty certain provisions to this express purpose which will take effect when the Treaty comes into force, in spite of the fact that China is not represented among the signatories, for instance by providing in Article 11 of the Treaty for Japan to renounce all her special rights and interests in China.

3. The signatory Powers recognise that under international law the responsibility for solving the problem of Japan's future relations with China must necessarily be laid by the Peace Treaty on Japan herself, once she regains her sovereign and independent status with the coming into force of the Treaty. The Peace Settlement has been so framed as not to prejudice this important principle.

4. The Treaty deals with the problem of Formosa in the same spirit. In Article 2 it provides for Japan to renounce her sovereignty over Formosa. The Treaty does not try to prejudge the future of the island, which is still to be discussed by the United Nations, but leaves it open for a future settlement, in which the interests of the people of Formosa will not be overlooked.